

nod and frown, and their money remains “safe” and stagnant in their savings account.

However, your goal is to be a strategic and confident investor. Understanding core investing concepts and how they work will help you stay objective and avoid impulsive reactions (like choosing random investments or selling in a panic), even when you hear someone share their stories of good or bad fortune in the stock market.

Two such concepts that I think are really key to understand as you become that confident and strategic investor are *inflation* and *compounding*. Both have been briefly mentioned in this book already, but it's time for a deeper dive.

INFLATION

You know when you hear your parents or older relatives talk about how things were so much cheaper back then than they are now? You might even have some of those memories yourself. I personally remember saving my little pocket money to buy candy as a small child, and today the same candy from the same brand costs much more. *Ahhh*, the good old days! Even from a year-to-year perspective, some things just seem to get more expensive.

So, what is inflation? Inflation, typically measured on an annual basis, is defined as a general increase in the prices for goods and services and the decline in the purchasing power of money over time.

One way in which inflation is measured is through something called the Consumer Price Index (CPI), which is a measure of the average change over time in the prices paid by consumers for a market basket of consumer goods and services.^{[1](#)} This market basket of goods and services includes things like food, personal items, and transportation. You might hear people talking about how the cost of milk or bread has changed over the years. Items like this are included in the Consumer Price Index, which is then averaged over time as one of the ways to determine the impact of inflation.

For example, according to the U.S. Bureau of Labor Statistics,^{[2](#)} in 2009 ground beef (a consumer good) cost \$3.02 per pound. However, in 2019 the cost of ground beef was at about \$3.99 per pound. This means that between